

more. Was it an Internet company or a mutual fund? What if those “investments” stopped going up?

- Sysco had also acquired several companies over the same period—but paid only about \$130 million. Stock options for Sysco’s insiders totaled only 1.5% of shares outstanding, versus 6.9% at Cisco. If insiders cashed their options, Sysco’s earnings per share would be diluted much less than Cisco’s. And Sysco had raised its quarterly dividend from nine cents a share to 10; Cisco paid no dividend.

Finally, as Wharton finance professor Jeremy Siegel pointed out, no company as big as Cisco had ever been able to grow fast enough to justify a price/earnings ratio above 60—let alone a P/E ratio over 200.³ Once a company becomes a giant, its growth must slow down—or it will end up eating the entire world. The great American satirist Ambrose Bierce coined the word “impossible” to describe two things that are conceivable separately but cannot exist together. A company can be a giant, or it can deserve a giant P/E ratio, but both together are impossible.

The wheels soon came off the Cisco juggernaut. First, in 2001, came a \$1.2 billion charge to “restructure” some of those acquisitions. Over the next two years, \$1.3 billion in losses on those “investments” leaked out. From 2000 through 2002, Cisco’s stock lost three-quarters of its value. Sysco, meanwhile, kept dishing out profits, and the stock gained 56% over the same period (see Figure 18-1).

Pair 2: Yahoo! and Yum!

On November 30, 1999, Yahoo! Inc.’s stock closed at \$212.75, up 79.6% since the year began. By December 7, the stock was at \$348—a 63.6% gain in five trading days. Yahoo! kept whooping along through year-end, closing at \$432.687 on December 31. In a single month, the stock had more than doubled, gaining roughly \$58 billion to reach a total market value of \$114 billion.⁴

FIGURE 18-1 Cisco vs. Sysco